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Case Number: 25AVCV00649 Hearing Date: September 1, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

MARLON VARGAS; and BLANCA VARGAS,

Plaintiffs,

v.

FARMERS INSURANCE EXCHANGE; and DOES 1 through 10,

Defendants.

Case Number 25AVCV00649

[TENTATIVE]

RULING ON MOTION

Date of Hearing: September 1, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a breach of contract case arising from a denied insurance claim. Defendant Farmers Insurance Exchange (Defendant) moves for summary judgment, or alternatively, summary adjudication.

On May 21, 2025, Plaintiffs Marlon Vargas and Blanca Vargas (Plaintiffs) filed a complaint against Defendant, asserting two causes of action for (1) breach of contract and (2) tortious bad faith.

Plaintiffs allege that they purchased a homeowner's insurance policy (Policy) from Defendant, which insured real property located at 37640 Cherry Drive, Palmdale, CA (Property) owned by Plaintiffs and which was in full force and effect on the date of incident. (Compl., ¶¶ 7-8.) Plaintiffs claim that on January 20, 2025, the Property suffered damage as a result of a sudden occurrence constituting a covered peril under the Policy. (Compl., ¶ 8.) Plaintiffs allege that they timely reported the loss to Defendant and made a claim on the Policy, but Defendant denied coverage under the policy. (Compl., ¶¶ 9, 11-12.)

On July 23, 2025, Defendant filed an answer to the complaint.

On June 1, 2026, Defendant filed the instant motion for summary judgment, or in the alternative, summary adjudication.

On August 18, 2026, Plaintiffs filed their opposition.

On August 21, 2026, Defendant filed its reply.

II. Preliminary Procedural Issues

Timeliness of Plaintiffs' Opposition – An opposition to a motion for summary judgment must be served and filed on or before the 20th day preceding the noticed or continued hearing date. (Code Civ. Proc., § 437c, subd. (b)(2).) Plaintiffs' opposition was due no later than August 12, 2026, but was not filed until August 21, 2026, rendering the opposition untimely.

Plaintiffs' counsel Marcia L. Daley states the late filing of the opposition was inadvertent and caused by a clerical error in failing to properly enter the deadline for filing into the calendaring system relied upon by Daley to ensure compliance with filing deadlines. (Daley Decl., ¶¶ 3-4.) Daley declares she was unaware the filing deadline had not properly been calendared until after the deadline had passed and promptly directed the opposition to be finalized and filed without delay, states she has implemented corrective measures in her practice to prevent recurrence of this type of error, and requests that the Court consider the opposition. (Daley Decl., ¶¶ 5-8.)

Defendant requests that the Court disregard the untimely opposition, noting that Daley provides no explanation as to why the motion was not calendared internally when it was served on June 1, 2026 and notes that Daley submitted a similar declaration in another Los Angeles case regarding inadvertent failure to properly calendar the deadline for her client's opposition to a motion for summary judgment. (Reply, p. 2:6-11; Reply RJN, Ex. A.)

Considering the nature of the motion, the Court will exercise its discretion and consider the opposition. Defendant does not assert that it has suffered any prejudice as the result of the delayed filing, and the Court notes that Defendant filed a timely and substantive reply to the arguments raised and evidence cited by Plaintiffs.

III. Request for Judicial Notice

Defendant's Request for Judicial Notice – Defendant requests that the Court take judicial notice of (1) Plaintiffs' complaint filed in the present action on May 21, 2025 and (2) Defendant's answer to the complaint filed in the present action on July 23, 2025. (Defendant's RJN, p. 1, ¶¶ 1-2.) On reply, Defendant requests that the Court take judicial notice of (1) the Declaration of Marcia L. Daley filed on July 30, 2026, in *Antonia Carmona v. Fire Insurance Exchange*, Los Angeles Superior Court No. 25CMCV01576, and (2) Request for Dismissal, filed August 11, 2026, in *Antonia Carmona v. Fire Insurance Exchange*, Los Angeles Superior Court No. 25CMCV01576.

The Court notes that judicial notice of documents filed in the instant action is unnecessary. However, Defendant's request is nonetheless GRANTED. (Evid. Code, §§ 452, subd. (d), 453.) The Court notes that the ultimate dismissal of *Antonia Camona v Fire Insurance Exchange* is not dispositive to the outcome of the present action.

IV. Legal Standard

Standard for Motion for Summary Judgment – Summary judgment is proper “if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.” (Code Civ. Proc., §437c, subd. (c).) The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) A defendant moving for summary judgment must show either (1) that one or more elements of the cause of action cannot be established or (2) that there is a complete defense to that cause of action. (*Id* at §437c, subd. (p).) A defendant may discharge this burden by furnishing either (1) affirmative evidence of the required facts or (2) discovery responses conceding that the plaintiff lacks evidence to establish an essential element of the plaintiff's case. If a defendant chooses the latter option, he or she must present evidence “and not simply point out that plaintiff does not possess and cannot reasonably obtain needed evidence.” (*Aguilar*, supra, 25 Cal.4th at 865-66.)

Until the moving defendant has discharged its burden of proof, the opposing plaintiff has no burden to come forward with any evidence. Once the moving defendant has discharged its burden as to a particular cause of action, however, the plaintiff may defeat the motion by producing evidence showing that a triable issue of one or more material facts exists as to that cause of action. (See Code Civ. Proc. § 437c(p)(2).) On a motion for summary judgment, the moving party's supporting documents are strictly construed and those of his opponent liberally construed, and doubts as to the propriety of summary judgment should be resolved against granting the motion. (*D'Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 21.)

The court must grant a motion for summary judgment if, after all admissible evidence is considered, there is no triable issue as to any material fact. (See Code Civ. Proc. § 437c(c).) The court has no discretion to deny a summary judgment motion where the moving party has met their burden and the opposing party has failed to establish any triable issue of material fact exists, and the moving party is entitled to judgment as a matter of law. (*Krasley v. Superior Court* (1980) 101 Cal.App.4th 59, 70.)

A party may also move for summary adjudication as to one or more causes of action within an action, one or more claims for damages, or one or more issues of duty if the party contends the cause of action has no merit, that there is no merit to a claim for damages, or that one or more defendants did not owe a duty to the plaintiff. (Code Civ. Proc., § 437c, subd. (f)(1).) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment, shall proceed in all procedural respects as a motion for summary judgment, and shall only be granted if it completely disposes of a cause of action, a claim for damages, or an issue of duty. (*Id* at § 437c, subd. (f)(1)-(2).)

V. Discussion

Application – Defendant moves for summary judgment on all claims against it pursuant to Code of Civil Procedure section 437c on the grounds that undisputed material facts establish that Plaintiffs cannot sustain any of their claims against Defendant. (Notice of Motion, p. 1:22-2:2.) Alternatively, Defendant moves for summary adjudication as to the following issues: (1) Plaintiffs' cause of action for breach of contract fails because there is no coverage for Plaintiffs' loss, (2) Plaintiffs' cause of action for tortious bad conduct fails because Defendant's denial was reasonable, and (3) Plaintiffs' request for punitive damages is without merit because Plaintiffs cannot establish that Defendant acted with oppression, malice, or fraud. (Notice of Motion, p. 2:3-11.)

a. First Cause of Action – Breach of Contract

Defendant argues this cause of action fails because there is no coverage available for Plaintiffs' loss under the Policy. (Motion, p. 11:4-5.) Specifically, Defendant argues that Plaintiffs cannot establish a covered loss as defined by the Policy because they have no evidence to refute Defendant's determination that the damage was not caused by entry of water as a result of a wind-caused opening, and therefore, Plaintiffs are not entitled to any damages arising under the Policy. (Motion, p. 13:8-16.)

"The elements of a breach of contract claim are [1] that a contract was formed; [2] that the plaintiff did everything required by the contract; [3] that the defendant did not do something required by the contract; and [4] that the plaintiff was harmed as a result." (CSAA Ins. Exchange v. Hodroj (2021) 72 Cal. App. 5th 272, 276.) A claim for breach of contract arising from an insurance policy is not viable where the plaintiff bringing the action is not entitled to receive the policy benefits at issue. (See Behnke v. State Farm General Ins. Co. (2011) 196 Cal.App.4th 1443, 1468 [plaintiff had no viable breach of contract claim because the defendant insurer had paid all policy benefits the plaintiff was entitled to receive]; Applied Equipment Corp. v. Litton Saudi Arabia Ltd. (1994) 7 Cal.4th 503, 515 [contract damages are limited to those within the contemplation of or reasonably foreseeable by the parties when the contract was entered into].)

Insurance policies are contracts and shall be construed and interpreted in the same manner as other contracts. (Cal. Ins. Code, § 22; Bluehawk v. Cont'l Ins. Co. (1996) 50 Cal.App.4th 1126, 1131 [insurance policies are fundamentally contracts and are interpreted using the ordinary rules of contract interpretation]; Bank of the West v. Superior Court (1992) 2 Cal. 4th 1254, 1264 ["The fundamental goal [in interpreting an insurance policy] is to give effect to the mutual intention of the parties."]; Civ. Code, § 1636 ["A contract must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful"].)

"An insurance company has the right to limit the coverage of a policy issued by it and when it has done so, the plain language of the limitation must be respected." (Continental Cas. Co. v. Phoenix Constr. Co., 46 Cal. 2d 423, 432.) However, interpretation of an insurance policy diverts from general contract construction principles when it comes to exclusions. Generally, "insurance coverage is 'interpreted broadly so as to afford the greatest possible protection to the insured, [whereas]... exclusionary clauses are interpreted narrowly against the insurer.'" (MacKinnon v. Truck Ins. Exchange (2003) 31 Cal. 4th 635, 648.) An insurer must phrase exceptions and exclusions to coverage in "clear and unmistakable language," and they must be so "conspicuous, plain, and clear" so as to "clearly apprise the insured" of the effect. (Ibid.) This requirement "applies with particular force when the coverage portion of the insurance policy would lead an insured to reasonably expect coverage for the claim purportedly excluded." (Ibid.) Therefore, the insured bears the burden of establishing the claim is within the basic scope of coverage, and the insurer bears the burden of establishing that the claim is "specifically excluded" under the policy. (Ibid.)

i. Defendant's Burden

It is undisputed that Plaintiffs' claim is regarding alleged damage to the Property caused by wind and rain damage to their roof, which Plaintiffs assert is covered under the Policy. (Plaintiffs' Statement of Undisputed Material Facts (PSUMF), ¶ 1; See Compl., 4, 7-8.) Defendant argues the breach of contract claim fails because the language of the Policy, including the specific exclusions to coverage applicable here, and the evidence presented unambiguously preclude Plaintiffs' at-issue

claim for damage. (Motion, p. 12:2-4.)

In support of its motion, Defendant provides the Policy in effect on the date of the subject loss, the language of which is undisputed by Plaintiffs. (PSUMF, ¶ 2; Urquiza Decl., ¶ 4, Ex. A.) The Policy provides, in pertinent part, that Defendant provides “limited coverage for accidental, direct, distinct, and demonstrable, physical water damage of covered property from direct contact with water, but only if the water results from...hail, rain, snow, or sleet entering a building structure caused by...wind.” The Policy also states that “[Defendant does] not cover any water, or the presence of water, over a period of time from any constant or repeating gradual or slow, seepage, leakage, trickle, collection, spray, or mist, infiltration or overflow of water from any source...whether known or unknown to any insured.” (Urquiza Decl., Ex. A, p. 13.)

The Policy also lists excluded types of loss or damage and excluded causes of loss or damage. The Policy reads, in relevant part:

We do not insure property covered by this policy, provide Loss of Use coverage or extend coverage in any Extensions of Coverage, for any loss of damage consisting or complained of any of the uninsured types of loss or damage listed below, whether on or off the residence premises, however caused, whether the loss or damage occurred immediately or other time, or is the result of, a natural or man-made activity, condition, or event, except as may be stated otherwise.

Uninsured types of loss or damage are never covered...

Uninsured types of loss or damage can occur in combination with insured loss or damage. If any uninsured type of loss or damage does occur in combination with, or in sequence to, insured loss or damage, the uninsured loss or damage is not covered. If the insured loss or damage and uninsured loss or damage cannot be physically segregated from each other for any reason, including, but not limited to, what perils caused the loss or damage or the extent or timing of the loss or damage caused by the individual perils, then none of the loss or damage will be insured by this policy.

1. Water Damage.

We do not insure loss or damage that consists of, is composed of, or that is, water damage, except as covered in Section I – Extensions of Coverage, Limited Water Coverage, or unless if caused by fire or lightning.

...

3. Construction Defect.

We do not insure loss or damage that is a construction defect in the dwelling or a

separate structure, except as covered in Section I – Extensions of Coverage,

Collapse of Building Structure or Structural Part of the Building Structure, or

unless if by fire or lightning.

4. Inherent Vice or Latent Defect.

We do not insure loss or damage that is an inherent vice or latent defect in covered property.

...

7. Wear and Tear, Deterioration or Mechanical Breakdown.

We do not insure loss or damage that is wear and tear, deterioration, or mechanical breakdown, unless if caused by fire or lightning.

...

9. Corrosion, Deterioration, Decay or Rust.

We do not insure loss or damage that consists of, is composed of, or that is corrosion, deterioration, decay, or rust, unless if caused by fire or lightning. This includes, but is not limited to, any decomposition, breakdown, and/or decay of man-made or natural material or matter by any agent.

...

15. Existing Damage.

Existing damage includes, but is not limited to:

- a. loss or damage that occurred prior to the policy inception;
- b. claims or damages arising out of workmanship, repairs, and/or lack of repairs arising from loss or damage that occurred prior to the policy inspection. This exclusion does not apply to covered ensuing loss that manifests itself within the policy period; or
- c. previous unrepaired portion of the insured property and previously suffered loss or damage.

...

B. Excluded Causes of Loss or Damage.

Except as provided elsewhere in this policy, we do not:

- a. insure property covered by this policy;
- b. provide Loss of Use coverage; or
- c. extend coverage in any Extensions of Coverage;

for loss or damage that directly or indirectly is caused by, arises out of, or results from, any of the excluded causes of loss or damage listed below[:]

...

2. Water.

...

4. Neglect, Lack of Maintenance, or Failure to Make Repairs.

Lack of maintenance includes a failure to undertake any maintenance.

5. Faulty, Inadequate, Defective, or Incomplete Planning, Zoning,

Maintenance, Repairs, Renovation, Manufacture, or Construction

We do not insure loss, damage, or costs, that directly or indirectly are caused by,

arise out of, or result from, or any costs of fixing or making good, any faulty,

inadequate, defective, or incomplete... workmanship, maintenance, servicing,

renovation, repair... that is for, is used in, or is part of a method or process

involving... any type of real property (including land or any improvements)[.]

...

6. Inherent Vice or Latent Defect.

...

8. Wear and Tear, Deterioration or Mechanical Breakdown.

However, see Section I – Extensions of Coverage, Limited Water Coverage for

limited coverage for water damage.

9. Corrosion, Deterioration, Decay or Rust.

However, see Section I – Extensions of Coverage, Limited Water Coverage for

limited coverage for water damage.

...

33. Weather Conditions.

(Urquiza Decl., Ex. A, p. 19-26.) Defendant argues (1) the insuring clause language expressly requires that rain entered the Property through an opening first caused by damage from the direct force of wind to be covered, (2) because a wind-caused opening is part of the Policy's insuring clause, the burden falls on Plaintiffs to prove a wind-caused opening existed through which rain entered to establish the claim was covered under the basic Policy, (3) Plaintiffs cannot and have not produced any evidence of any wind-caused opening through which rain entered causing damage to the Property, and (4) the undisputable evidence is that the roof suffered from severe wear and tear which allowed rain to enter, and therefore, the loss is uninsured and the cause of the damage is expressly excluded under the Policy. (Motion, p. 12:2-9, 10-14; DSUMF, ¶¶ 3-8.)

Defendant provides the Declaration of Yuridia Urquiza, a Claims Representative employed by Defendant who was assigned to adjust Plaintiffs' claim against the Policy regarding the damage allegedly sustained on January 20, 2025. (Urquiza Decl., ¶ 2.) Urquiza's responsibilities include investigating claims, reviewing claim and policy files, electronic claim file entries, Defendant's policies, declarations pages, and policy endorsements, requesting certified copies of Defendant's policies, evaluating and responding to claims, and communicating with claimants and insureds regarding claims under Defendant's policies. (Urquiza Decl., ¶ 2.) Urquiza states that on February 6, 2025, Plaintiffs, through their counsel, reported a property damage claim to Defendant for the subject damage. (Urquiza Decl., ¶ 5, Ex. B.) Urquiza states she was assigned to the claim and began investigation, including reviewing the prior loss history of the Property and retaining America's Best Roofing and ServiceMaster (ABRSM) to inspect the Property with her and provide their assessment, including the cause and extent of the alleged loss and mitigation or remediation measures. (Urquiza Decl., ¶ 6.) On February 14, 2025, Urquiza inspected the Property with ABRSM and a representative from a mitigation contractor retained by Plaintiffs' counsel and ABRSM provided a report and photographs of the Property. (Urquiza Decl., ¶ 7, Ex. C.)

Urquiza states that based on the inspection reports, other materials provided by ABRSM, and her own experience managing and evaluating claims, there was no storm-related damage; all issues were due to normal wear and tear or prior improperly completed repairs. Urquiza noted that solar panels had been installed on part of the roof, that dirt and other debris had accumulated on the roof, which can obstruct water flow and slow drainage of water from the roof, and several roof tiles were sliding out of place. (Urquiza Decl., ¶ 8.) The ABRSM report found the roof leaks were likely due to damaged underlayment, which was covered by roof tiles and not visible. (Urquiza Decl., ¶ 8, Ex. C.) The ABRSM Report states that there were multiple tiles of different colors from previous repairs, some tiles were glued back together from prior repairs, and there was one cracked tile on the edge of the roof. (Urquiza Decl., Ex. C.) The Report also states that roof tiles can block around 70% of

rainwater with the underlayment blocking the remaining water, but that underlayments typically only last approximately 30 years, after which they can crack and develop holes, and the underlayment on the subject Property may have been further damaged during the installation of the solar panels, which can occur, particularly where the underlayment has age-related deterioration. (Urquiza Decl., ¶ 8, Ex. C.) The report also states that the dirt buildup on the closed valleys on the west slope were also likely a contributing factor to the leaks, as accumulated dirt can slow water flow, causing it to pool and seep under the seam of the underlayment. (Urquiza Decl., ¶ 8, Ex. C.) Ultimately, Urquiza and the Report opine that there was no evidence of any wind or storm-related damage to the roof, and the leaks were determined to have been caused by wear and tear, faulty workmanship, or debris, which are not covered under the Policy. (Urquiza Decl., ¶ 8.)

Defendant also provides Plaintiffs' relevant responses to Defendant's Special Interrogatories and portions of Plaintiffs' deposition testimonies. (Weixel Decl., Ex. A-D.) In response to Interrogatory No. 12, which requested identification of each document Plaintiffs' contend supports their calculation of the relief to which they are entitled against Defendant, Plaintiffs identify three BioHome invoices for mitigation work and drying out the Property, one estimate from Global Estimates LLC for the estimated costs for repairs to the roof, Plaintiffs' homeowners' policy, and Plaintiffs' request for punitive damages and attorneys' fees. (Weixel Decl., Ex. B.)

As to Marlon Vargas' deposition, he testified to the following relevant facts: (1) the Property was in "really bad condition" when originally purchased 13 years before the damage, (2) he has never done any work on the roof since living there, (3) prior to the subject incident, the roof had never been inspected in his ownership, (4) the roof has never been replaced or repaired since he purchased it, and (5) he believes the roof is the original roof from 1987 or 1988 and is over 30 years old. (Weixel Decl., Ex. C, p. 22:4-17, 23:1-15.) Plaintiff Blanca Vargas testified that when she and Mr. Vargas purchased the Property 13 years prior, they did substantial renovation to the inside of the home as it was in poor condition, the solar panels were installed by Plaintiffs after they noticed the leaking, she does not know whether there have been any other repairs, maintenance, or renovations to the roof, and to her knowledge, the roof has never been replaced and is roughly 30 years old. (Weixel Decl., Ex. D, p. 15:8-16:14, 16:23-19:8.)

Where an insurance policy is written in two parts, first being the insuring agreement which states the risks covered, second being the exclusion clauses which remove coverage for risks otherwise falling within the insuring clause, a court must first examine the coverage provisions to determine whether a claim falls within [the policy terms]" before considering the exclusions from coverage. (Waller v. Truck Ins. Exchange, Inc. (1995) 11 Cal.4th 1, 16.) "[W]hen an occurrence is clearly not included within the coverage afforded by the insuring clause, it need not also be specifically excluded," and "although exclusions are construed narrowly and must be proven by the insurer, the burden is on the insured to bring the claim within the basic scope of coverage, and (unlike exclusions) courts will not indulge in a forced construction of the policy's insuring clause to bring a claim within the policy's coverage." (Ibid.) "[I]nterpretation of an insurance policy is a question of law," and "a policy provision will be considered ambiguous when it is capable of two or more constructions, both of which are reasonable." (Id. at 18.)

Here, Defendant has met its burden of establishing that there is no triable issue of material fact as to whether the alleged damage falls within the insuring clause. First, Defendant has provided a copy of Plaintiffs' Policy, which establishes that Defendant would provide limited coverage for physical water damage from rain, but only if wind caused the rain to enter a building structure. The language of the Policy is clear as to what types of damages are covered, and that water damage is only covered if the entry was caused by specific causes, one being wind. The insuring clause, on its face, is not ambiguous and expressly places Plaintiffs on notice that water damage from rain is not covered unless it was caused to enter the home through one of the delineated causes.

Second, Defendant has provided sufficient evidence to establish that the entry of rainwater into Plaintiff's Property was not caused by wind. Urquiza, a claims adjuster with knowledge of and experience adjusting similar claims who personally inspected the Property, declares there is no evidence of any wind-related damage. ABRSM's Report also notes numerous likely causes of the water leaks, including pooling of water due to the slowed draining from the roof, blockage the weep screed gap on the exterior of the home, and damage to the underlayment caused by age and installation of solar panels, none of which are wind-related and all of which are excluded under the Policy. Plaintiffs also both testified that they have never performed repairs or maintenance on the roof to their knowledge and that the roof is likely around or over 30 years old. The age of the roof correlates with ABRSM's Report which states the underlayment typically has a lifespan of around 30 years, after which cracks develop and leaks may occur.

Furthermore, Defendant has met its burden of establishing that there is no triable issue of material fact as to whether the alleged damage is specifically excluded under the Policy.

As discussed above, Defendant has provided sufficient evidence to meet its initial burden of establishing that the Property damage was not caused by rain entering the Property caused by wind as alleged by Plaintiffs. Furthermore, the Policy clearly and unequivocally sets forth uninsured losses and damage, which are not granted coverage under the Policy. These include water damage not included under the insuring clause, construction defects, latent defects, wear and tear, deterioration, and existing damage. (PSUMF, ¶ 2.) Excluded causes are also clearly set forth in the Policy, including damage caused by water not covered in the insuring clause, lack of, faulty, inadequate, defective, or incomplete maintenance, latent defects, wear and tear, deterioration, and weather conditions if the condition contributes to, or combines with, any excluded cause of loss or damage. (PSUMF, ¶ 2; Urquiza Decl., Ex. A, p. 26.) Therefore, Defendant has satisfied its burden of showing no triable issue of material fact exists as to the Claim not being covered under the insurable clause, and qualifying for exclusion under the exclusory clauses.

The burden shifts to Plaintiffs to establish a triable issue of material fact exists as to (1) whether the damage is covered by the Policy and (2) whether the damage is nonetheless expressly excluded from coverage.

ii. Plaintiffs' Burden

Plaintiffs have failed to raise any issue of triable fact as they have produced no admissible evidence to refute the evidence provided by Defendant.

Plaintiffs reference evidence in their opposition and in Plaintiff's Statement of Undisputed Material Facts, which they contend raise issues of triable fact as to whether wind caused damage to the Property. For example, Plaintiffs reference the February 1, 2025 Affidavit of Loss, signed by Plaintiffs regarding the wind damage (Opp., p. 6:2-3), Plaintiff's responses to Form Interrogatories (Opp., p. 6:7-8), and a wind report setting forth data regarding wind conditions from weather stations in with a 15-mile radius of the Property the date of the incident (Opp., p. 6:9-18). (See PSUMF, ¶ 4.) None of this evidence is on the record. As such, Defendant's evidence remains unrefuted.

Plaintiffs argue that pursuant to Insurance Code section 530 and the efficient proximate cause doctrine, where a loss results from a combination of a covered peril and an excluded peril, the loss is covered if the covered peril was the efficient proximate cause of the loss, even where an excluded peril gave rise to the possibility of such damage. (Opp., p. 9:14-19.) The Court finds it unnecessary to delve into this legal argument in light of the fact that there is absolutely no evidence on the record that wind or some other covered cause of water damage was a partial cause of the loss underlying the Claim.

Here, Plaintiffs have not produced a wind report, a declaration or affidavit of any individual testifying as to the Property damage and cause thereof, any report or opinion from anyone establishing that the damage was caused by wind or some other cause covered under the basic Policy coverage, any photographs or other evidence establishing a wind-caused opening through which rainwater entered, evidence that wind occurred the date of the incident, affidavits or declarations from Plaintiffs or the named witnesses regarding the events allegedly giving rise to the damage, or any other evidence to raise any triable issue of fact. Plaintiffs also do not argue that the Policy language is not explicitly clear as to what losses from water damage are covered, and what losses from water damage and causes thereof are expressly excluded by the Policy.

Accordingly, Plaintiffs have failed to meet their burden of raising a triable issue of material fact.

b. Second Cause of Action – Tortious Bad Faith

Defendant argues this cause of action fails because there can be no action for bad faith where no coverage under an insurance policy was due, and because Plaintiffs cannot establish that Defendant acted unreasonably in denying their claim. (Motion, p. 14:2-6, 14:22-25.)

"[I]f there is no potential for coverage...there can be no action for breach of the implied covenant of good faith and fair dealing because the covenant is based on the contractual relationship between the insured and the insurer." (Waller, supra, 11 Cal. 4th 1, 36.) "[A] bad faith claim cannot be maintained unless policy benefits are due." (Love v. Fire Ins. Exch. (1990) 221 Cal.App.3d 1136, 1153.)

Furthermore, "[a]n insurer cannot be liable for bad faith if its conduct was objectively reasonable." (Behnke v. State Farm General Ins. Co., 196 Cal. App. 4th 1443, 1470.) A claim for bad faith and breach of the implied covenant of good faith and fair dealing "must show that the conduct of the defendant, whether or not it also constitutes a breach of a consensual contract term, demonstrates a failure or refusal to discharge contractual responsibilities, prompted not by an honest mistake, bad judgment or negligence but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement." (Chateau Chamberay Homeowners Assn. v. Associated Internat. Ins. Co. (2001) 90 Cal. App. 4th 335, 346.)

For the reasons stated above, Defendant has met its burden of establishing no triable issue of material fact exists as to whether it acted in bad faith in denying Plaintiffs' Claim. Defendant has presented evidence that it promptly assigned a claims adjuster to the Claim, who promptly investigated the claim and inspected the Property with a retained roofing company. Defendant was provided a report detailing potential causes of the leak and photographs documenting those potential causes. The Report also includes photographs of the roof, none of which show any visible signs of wind-caused openings, and the Report concludes that there was no evidence of wind damage to the roof which would have caused the leak.

Plaintiffs have, again, provided no evidence to establish bad faith on Defendant's part. Plaintiffs argue that a reasonable trier of fact could find that the denial was done in bad faith because Defendant has provided no evidence that it or its retained inspector ever requested, reviewed, or considered any wind data for the date of loss before concluding the damage was unrelated to wind or storm activity. (Opp., p. 10:13-21.) Plaintiffs rely on Mariscal v. Old Republic Life Ins. Co. (1996) 42 Cal.App.4th 1617 in support.

In Mariscal, an insurer denied coverage on the basis that a decedent died of an illness and not from injuries sustained in an automobile accident. The Appellate Court upheld a judgment finding bad faith denial of an insurance claim for the insurer's failure to thoroughly investigate the cause of death, including failing to obtain statements of percipient witnesses at the scene of the accident, who provided evidence strongly suggesting that the accident caused the death, did not call its own doctors to verify the cause of death because doctors are difficult to reach by telephone, and ignored the hospital discharge summary and death certificate which listed cause of death as a result of complications caused by injuries suffered in the accident. (Id. at 1623-25.) The Court's ruling was based on the fact that the evidence available to the insurer establishes that it could not reasonably deny the claim on the ground that the decedent died from illness. (Id. at 1626.)

Ultimately, it is true that "[a]n insurance company may not ignore evidence which supports coverage." (Id. at 1624.) However, Plaintiffs' argument lacks merit. The Report provided by ABRSM indicates that they were directed to look for, identify, and report any signs of wind damage to the roof in inspecting the Property. Defendant's claim adjuster assigned to the Claim states she immediately began investigating the Claim, which she understood was based on alleged wind damage to the Property. Plaintiffs have provided no evidence to refute that Defendants conducted a reasonable and sufficient investigation into their Claim. Plaintiffs have also provided no evidence or argument that a review of wind conditions and measurements around Plaintiffs' property or otherwise obtaining statements from individuals in the home on the date of loss would have resulted in a different outcome. Even where wind conditions verifiably existed, denial is not unreasonable where there is absolutely no evidence that those conditions resulted in any damage, let alone damage through which water entered the Property.

Plaintiffs have failed to raise any triable issue of material fact as to the second cause of action.

Accordingly, Defendant's motion for summary judgment is GRANTED.

VI. Conclusion

Defendant Farmers Insurance Exchange's Motion for Summary Judgment is GRANTED.